

MGT610- Business Ethics Solved Subjective

For Final Term Exam Preparation

Question: In what sense does Galbraith deserve a medal for freedom?

Answer: In the sense that a certain conception of freedom does underlie his thinking. This is what is called "positive" freedom. It means a condition whereby people are provided by government, and at the expense of other people, with what they could use to advance their lot. Such provisions would "free" them to move forward. The freedom of the American founders is quite different, mainly backed by a different idea of human nature. It is that people in communities require first and foremost not to be thwarted in their efforts to make headway in life. Others may not be conscripted into involuntary servitude to provide them with what they might need because if they are not thwarted by them, they will be able to do this on their own. Not equally rapidly, not to the same extent, perhaps, but if they only apply themselves, they will flourish without coercing others. Galbraith has never championed this kind of "negative" freedom. So his views are alien to the American political tradition. It is not surprising, then, that he receives the Medal of Freedom from President Bill Clinton, someone who has done nothing at all to further freedom in this truly American sense. To Galbraith's minor credit, however, he did, a few years ago, finally admit that capitalism is a far better economic system than socialism. He did this only in the wake of the collapse of the Soviet Empire. And even then with great reservations and regret. He was asked, in an interview published in Alitalia's October 1996 "in flight" magazine: "You spoke of the failure of socialism. Do you see this as a total failure, a counterproductive alternative?" He replies this way: "I'd make a distinction here. What failed was the entrepreneurial state, but it had some beneficial effect. I do not believe that there are any radical alternatives, but there are correctives. The only alternative socialism, that is the alternative to the market economy, has failed. The market system is here to stay."

Question: Internet privacy forms a subset of computer privacy. Experts in the field of Internet privacy have a consensus that Internet privacy does not really exist. Privacy advocates believe that it should exist. Do you agree or not with this statement? Explain your arguments with real life examples.

Answer: Internet privacy consists of privacy over the media of the Internet: the ability to control what information one reveals about oneself over the Internet, and to control who can access that information. Many people use the term to mean universal Internet privacy: every user of the Internet possessing Internet privacy. People with only a casual interest in Internet privacy need not achieve total anonymity. Regular Internet users with an eye to privacy may succeed in achieving a desirable level of privacy through careful disclosure of personal information and by avoiding spyware. The revelation of IP addresses, non-personally-identifiable profiling, and so on might become acceptable trade-offs for the convenience that such users would otherwise lose in using the workarounds needed to suppress such details rigorously. On the other hand, some people desire much stronger privacy. In that case, they may use Internet anonymity to ensure privacy — use of the Internet without giving any third parties the ability to link the Internet activities to personally-identifiable information of the Internet user.

Question: Why do companies develop ethics programs?

Answer: Ethics should govern all human activity; there is no reason to exempt business activity from ethical scrutiny. Business is a cooperative activity whose very existence requires ethical behavior. Another

more developed argument points out that no activity, business included, could be carried out in an ethical vacuum.

Question: organizational factors of oligopolistic competition Define at least five which lead companies to engage in unethical practices.

Answer:

1. Crowded and Mature Market - When large numbers of new entrants or declining demand create overcapacity in a market, the resulting decline in revenues and profits creates pressures on middle-level managers. They may respond by allowing, encouraging, and even ordering their sales teams to engage in price fixing.
2. Job-Order Nature of Business - If orders are priced individually so that pricing decisions are made frequently and at low levels of the organization, collusion among low-level salespeople is more likely.
3. Undifferentiated Products - When the product offered by each company in an industry is so similar to those of other companies that they must compete on price alone by continually reducing prices, salespeople come to feel that the only way to keep prices from collapsing is by getting together and fixing prices.
4. Culture of the Business - When an organization's salespeople feel that price fixing is a common practice and is desired, condoned, accepted, rationalized, and even encouraged by the organization, price fixing is more likely.
5. Personnel Practices - When managers are evaluated and rewarded solely or primarily on the basis of profits and volume so that bonuses, commissions, advancement, and other rewards are dependent on these objectives, they will come to believe that the company wants them to achieve these objectives regardless of the means.
6. Pricing Decisions - When organizations are decentralized so that pricing decisions are pushed down into the hands of a lower part of the organization, price fixing is more likely to happen. Price decisions should be made at higher organizational levels.
7. Trade Associations - Allowing salespeople to meet with competitors in trade association meetings will encourage them to talk about pricing and to begin to engage in price setting arrangements with their counterparts in competing firms.
8. Corporate Legal Staff - When legal departments fail to provide guidance to sales staff until after a problem has occurred, price-fixing problems are more likely.

How Adam Smith or Utilitarian are criticized marks 3

Locke's critics focus on four weaknesses in his argument:

1. The assumption that individuals have natural rights: This assumption is unproven and assumes that the rights to liberty and property should take precedence over all other rights. If humans do not have the overriding rights to liberty and property, then the fact that free markets would preserve the rights does not mean a great deal.
2. The conflict between natural (negative) rights and positive rights: Why should negative rights such as liberty take precedence over positive rights? Critics argue, in fact, that we have no reason to believe that the rights to liberty and property are overriding.
3. The conflict between natural rights and justice: Free markets create unjust inequalities, and people who have no property or who are unable to work will not be able to live. As a result, without government intervention, the gap between the richest and poorest will widen until large disparities of wealth emerge. Unless government intervenes to adjust the distribution of property that results from free markets, large groups of citizens will remain at a subsistence level while others grow ever wealthier.
4. Individualistic assumptions and their conflicts with the ethics of caring: Locke assumes that people are individuals first, independent of their communities. But humans are born dependent on others, and without caring relationships, no human could survive. The degree of liberty a person has depends on what the person can do. The less a person can do, the less he is free to do. But a person's abilities

depend on what he learns from those who care for him as well as on what others care to help him to do or allow him to do.

About Galbraith Affluent Society

Marks 3

In the Affluent Society Galbraith asserts that classical economic theory was true for the eras before the present, which were times of "poverty"; now, however, we have moved from a state of poverty into an age of "affluence," and for such an age, a completely new economic theory is needed.

How far must manufacturer and their representatives go to make their product and services completely safe? The "due care" view holds then that, because consumers must depend on the greater expertise of the manufacturer, the manufacturer not only has a duty to deliver a product that lives up to the express and implied claims about it, but also has a duty to exercise due care to prevent others from being injured by the product even if the manufacturer violates this duty and is negligent when there is a failure to exercise the care that a reasonable person could have foreseen would be necessary to prevent others from being harmed by use of the product. Due care must enter into the design of the product, the choice of reliable materials for constructing the product, the manufacturing processes involved in putting the product together, the quality control used to test and monitor production, and the warnings, labels, and instructions attached to the product. In each of these areas, according to the due care view, the manufacturer, in virtue of a greater expertise and knowledge, has a positive duty to take whatever as possible, and the customers has a right to such assurance. Failure to take such steps is a breach of the moral duty to exercise due care and a violation of the injured person's right to expect such care – a right that rests on the consumer's need to rely on the manufacturer's expertise.

Explain ethics of conserving depletable resources marks 5

Conservation refers to the saving or rationing of natural resources for later use. Conservation, therefore, looks primarily to the future: to the need to limit consumption now to have resources available for tomorrow.

In fact, even pollution control can be seen as a form of conservation, since pollution consumes air and water. However, there are basic differences between the problems of pollution and the problems of resource depletion that makes the term conservation more applicable to the latter problems than to the former. With some notable exception (such as nuclear wastes), most forms of pollution affect present generations, and their control will benefit present generations. The depletion of most scarce resources, however, lies far in the depletion of resources is primarily by posterity and not by present generations. Consequently, our concern over the depletion of resources is primarily a concern for future generations and for the benefits that will be available to them.

Social costs view of the manufacturer's duties marks 3

A third theory on the duties of the manufacturer would extend the manufacturer's duties beyond those imposed by contractual relationships and beyond those imposed by the duty to exercise due care in preventing injury or harm. This third theory holds that a manufacturer should pay the costs of any injuries sustained through any defects in the product, even when the manufacturer exercised all due care in the design and manufacture of the product and has taken all reasonable precautions to warn users of every foreseen danger. According to this third theory a manufacturer has a duty to assume the risks of even those injuries that arise out of defects in the product that no one could reasonably have foreseen or eliminated. The theory is strong version of the doctrine of caveat vendor: let the seller take care.

What is Affluent Society? 3

The Affluent Society Galbraith asserts that classical economic theory was true for the eras before the present, which were times of "poverty"; now, however, we have moved from a state of poverty into an age of "affluence," and for such an age, a completely new economic theory is needed.

What does it means "treating humanity as an end" 3

What Kant means by "treating humanity as an end" is that everyone should treat each human being as a being whose existence as a free rational person should be promoted. For Kant, this means two things:

1. Respect each person's freedom by treating people only as they have freely consented to be treated beforehand, and
2. Develop each person's capacity to freely choose for him or herself the aims he or she will pursue.

Define Green marketing and its activities. 3

Marketing products and services based on environmental factors or awareness. Companies involved in green marketing make decisions relating to the entire process of the company's products, such as methods of processing, packaging and distribution.

Green marketing activities

- Green Factory Certification System
- Green Products Certification System
- Green Marketing Activities

Differentiate advertising and publicity 3

Advertising and publicity are two very different communication tools, even though both employ the mass media as a vehicle for reaching large audiences.

- Traditionally, most marketers placed heavy reliance on advertising and only occasionally used publicity.
- On the other hand, public relations practitioners have primarily relied on publicity--or, as they sometimes prefer to call it, media relations--and only rarely used advertising.

This does not mean that advertising should be seen only as a marketing tool and that publicity should be seen only as a public relations tool. Thoughtfully used, both tools are valuable for both functions.

Anti-trust views 5

the antitrust view argues that prices and profits in highly concentrated industries are higher than they should be. By breaking up large corporations into smaller units, they claim, higher levels of competition will emerge in those industries. The result will be a decrease in collusion, greater innovation, and lower prices. Clearly, the antitrust view is based on a number of assumptions. J. Fred Weston has summarized the basic propositions on which this traditional view is based:

1. If an industry is not atomistic with many small competitors, there is likely to be administrative discretion over prices.
2. Concentration results in recognized interdependence among companies, with no price competition in concentrated industries.
3. Concentration is due mostly to mergers because the most efficient scale of operation is not more than 3 to 5 percent of the industry. A high degree of concentration is unnecessary.

4. There is a positive correlation between concentration and profitability that gives evidence of monopoly power in concentrated industries—the ability to elevate prices and the persistence of high profits. Entry does not take place to eliminate excessive profits.
5. Concentration is aggravated by product differentiation and advertising. Advertising is correlated with higher profits.
6. There is oligopolistic coordination by signaling through press releases or other means.

Positive and negative aspects of advertising 5

Positive aspect;

1 awareness

Simply reaching out to the market to let them know you exist is a primary initial objective of advertising. No matter how great your product or service, if no one knows you exist, you cannot sell to them. An effective and often repeated advertisement helps your target audience become more familiar with your brand and ideally recall it when a need arises for which your brand intends to meet.

2 Induce Business

Advertisements are sometimes intended to induce immediate sales and revenue. Presentation of sales promotions through ads are a way to drive business quickly. Television and radio ads can communicate your message. In print advertisements, such as with magazines and newspapers, you can include sales promotion tools, such as a coupon, right in the ad. New businesses often use promotions to build a customer base, but they are also used to sell excess inventory and create cash flow when needed.

3 Information and Education

In his January 2011 article "Unappreciated Benefits of Advertising and Commercial Speech" for the website The Technology Liberation Front, Adam Thierer points out that advertisements sometimes serve to inform and educate consumers. This is especially true when new brand or products are introduced to the market or when product complexity means more education is required.

Understanding the value of an advertiser's brand relative to the needs they have helps consumers make more informed decisions.

4 Return on Investment

From a financial standpoint, advertisements should generate a return on investment, indicates Dan Keen of Break Studios in his April 2010 article "10 Benefits Of Advertising." Advertisements cost money to develop and place. Companies consider how much return of investment they get in the form of heightened consumer awareness, improved brand sentiment or direct sales. Evaluating results of advertisements is vital for companies to confirm a return on investment and to avoid wasteful messages that do not accomplish the intended results

negative aspects;

1) Advertising fosters greediness, discontent, and the wrong kind of competitiveness between people--that is, not the competition for excellence, but of things; it fosters self-esteem based on consumerism, and human worth is equated with brand names and conspicuous consumption.

2) It is hurtful to human relationships. The growth of selling through sexism and sexual exploitation is one important growing failure in man-woman relationships. It is one of the reasons why the woman over 45 is considered worthless, and tossed on the social dump heap.

3) Advertising, as it now exists, weakens character structure through appeal to selfishness and self-centeredness.

4) advertising is a powerful educational force, counteracting certain aspects of formal education through an appeal to illogic and irrationality.

Safety and privacy of internet transaction 5

There are several ways to help ensure safe transactions on the Internet, and more are becoming possible all the time. Some of these include:

- Stored-value cards (cards that you can buy with specified, loaded dollar amounts)
- [Smart cards](#) (cards that can act as credit cards, debit cards and/or stored-value cards)
- Point-of-sale (POS) devices (like your [PDA](#) or [mobile phone](#))
- [Digital cash](#)
- [E-wallets](#)
- Online payment services like [PayPal](#)

The most prevalent method for paying for the things you purchase online is still the credit card. The following list provides some tips on how to make sure your transaction is secure. For a more extensive explanation of encryption and Internet security, check out [How Encryption Works](#).

- **Use the latest Internet browser.** The program that you use to surf the Internet is called a browser. This software has built-in encryption capabilities that scramble the information you send to a [server](#). Using the most recent browser ensures that the data is protected using the latest encryption technology. This technology also uses a Secure Sockets Layer (SSL), which is an Internet security protocol used by Internet browsers and Web servers to transmit sensitive information. The server receiving the data uses special "keys" to decode it. You can make sure you are on an SSL by checking the URL -- the http at the beginning of the address should have changed to **https**. Also, you should notice a small **lock icon** in the status bar at the bottom of your browser window.
- **Look for digital certificates** that authenticate the entity you are dealing with. Independent services like [VeriSign](#) will authenticate the identity of the Web site you are visiting. Web sites that use this

service (usually those that sell items or services online) will have the VeriSign logo. By clicking on the logo, you can be assured that the site is legitimate, rather than a clone of the legitimate company set up to collect your personal and financial information.

- **Read the privacy policy.** The information you enter on the Web site should be kept confidential. Make sure you read the company's privacy policy to ensure that your personal information won't be sold to others. Services like [Trust-E](#) review a company's privacy policy (for a fee) and then allow the company to post the Trust-E logo if its privacy policy follows certain industry standards for consumer protection.
- **Only use one credit card** for all of your online purchases.
- **Never give out passwords or user ID information online unless you know who you are dealing with** and why they need it. Don't give it out to your Internet service provider if you get an [e-mail](#) requesting it. This is a relatively recent scam used to access your account and get your credit card number, along with whatever other personal information is there.
- **Keep records of all of your Internet transactions.** Watch your credit card statement for the charges and make sure they're accurate.
- **After you've made purchases online, check your e-mail.** Merchants often send confirmation e-mails or other communications about your order.

Water Contamination - what can we do to solve this problem?

Here are the things world needs to do in order to solve water pollution issue:

1. Strict laws and frequent monitoring of water bodies in order to avoid scenarios that include huge quantities of different chemicals being discharged either directly or indirectly into our rivers, lakes, and streams.
2. Better education of the people. People, especially the ones living in developing countries, need to be more educated and learn that water is the most precious resource in our planet.
3. Enable more funds to adequately treat waste water and sewage waste. This means at least the basic sanitation in all countries of the world. In India for instance 700 million people still have no access to basic sanitation (a proper toilet).
4. Frequent chemical, biological and physical testing of different water bodies in order to prevent water pollution from reaching higher levels.
5. Massive fines for industries and people that purposely dump waste and other chemicals into different water bodies.
6. More wastewater treatment facilities so that there is more water discharged back into the environment without posing threat to our health and our environment. World also needs to force wastewater treatment facilities to pull more pollutants from their discharge.

7. Decrease the amount of pesticides and fertilizers used in agriculture because advanced agriculture based on heavy use of different chemicals is one of the main factors behind growing water pollution issue.

8. Cleaning up polluted rivers and other polluted water bodies. Cleaning polluted water bodies is very expensive procedure but this is really a small price to pay when considering harmful effects of polluted water to our health and our environment.

9. Better use of science. Science needs to focus more on finding the new "revolutionary" solution to clean polluted water bodies such as for instance using carbon nanotubes to clean polluted water.

10. Water pollution needs to be tackled at both regional as well as global level because all environmental issues are becoming global and water pollution issue is certainly no exception.

What are discriminatory practices?

to discriminate means to make choices based upon categories. If you like to eat small eggs but not large eggs, you discriminate in your egg consumption. That, of course, is a harmless example. If, however, you like to hire people of European descent and not people of African descent, that is a harmful form of discrimination, since it is unfair to qualified applicants who do not meet your ethnic criterion.

Application forms are unlawful and discriminatory when:

- applicants with a disability are required to provide information which other applicants are not required to provide:
 - - unless the information is required to determine the applicant's ability to perform the inherent requirements of the job
- applicants are required to fill out a long and complex written application:
 - - this may disadvantage applicants with intellectual or learning disabilities or other disabilities which affect reading
 - unless the job itself requires an ability to deal with complex documents this requirement is unreasonable
- applicants are asked about disability in an application form:
 - - for example, 'Have you ever had a mental illness?'
- applicants are asked questions that are not necessarily reasonable in an application form but may be reasonable and permitted at an interview:
 - - for example, questions asked to determine whether a person's disability will affect their ability to perform the inherent requirements of the job or to determine whether reasonable adjustment is required and possible.

What are the effects of deforestation?

THE EFFECTS OF DEFORESTATION ON OUR ENVIRONMENT TODAY

Deforestation has been described as the cutting down of trees without planting others in their place.

It is hard to think that there was a time when 90% of the earth was covered by trees, but this was once the case. If so, one asks, naturally, what happened to all these trees? Why do people cut down trees? The following are probable reasons:

a) Demand for land for cultivation.

This has been seen both in Kenya and other parts of the world especially countries that have Agriculture as the backbone of their economy. Trees have been cut down to obtain land for cultivation of both subsistence and cash crops, both by governments and individuals.

b) Need for firewood

People, especially those who live in rural areas where electricity and gas are unavailable, resort to use of firewood as a source of heat. Here, wood is cut down and burnt.

c) Need for land to build industries

Industries require a lot of land and while industrialization is important for every country, it is the bane of large tracts of forest. People need jobs in order to provide for their daily needs.

d) Need for land to build houses

With the worldwide increase in population, land to build houses for people to live in is very much required.

e) Need for wood for furniture, pencils, paper etc

Whereas the above needs are important and have to be satisfied, cutting down trees is not the most probable solution to these problems. Why? This is because, most people who cut down trees do not plant others in their place. Also, if all the above needs are to be met by cutting down of trees, even planting two for every tree cut will not prevent desertification. This is because trees take so long to grow and mature, especially so for hard wood trees. Deforestation has the following dangers:

•Destruction of carbon sinks:

Carbon sinks are huge stores of carbon, e.g. Swamps and forests

•Soil Erosion:

Deforestation makes soil prone to erosion by agents such as wind and water. The roots of trees hold the particles of soil together thus, preventing the fertile top soil from being carried away. Soil erosion leads to loss of productivity of the land due to loss of mineral nutrients and soil microorganisms

•Destruction of animal habitats:

Apart from domesticated animals and marine and fresh water animals, all other animals need forests as their habitats. These forests do not only provide a place for the animals to roam day but also provide their food and act as a source of protection from predators through camouflage. Destruction of the animals' habitats literally kills the animals.

•Medicinal Plants:

Some trees are used as herbs. Trees such as the Cinchona have been used as treatment against Malaria since time immemorial. Destruction of these forests leads to destruction of medicinal plants that could be used as treatment for various ailments.

•Trees act as windbreakers:

Absence of these trees enables strong winds and or storms e.g. Hurricanes and Tornados. I write this in the

wake of a Tsunami at the Indonesian coast where about 150 people have just lost their lives. Hurricanes like Katrina are still fresh in our memories. I cannot over emphasize this point.

•Greenhouse effect and global warming:

Nature balances the flow of energy and nutrients. Forests play a very vital role in these cycles e.g. the carbon cycle where deforestation causes carbon dioxide to remain in the atmosphere. Accumulation of carbon dioxide in the atmosphere acts as a blanket that traps long wave radiation of heat and prevents it from escaping the surface of the earth back into the atmosphere. This phenomenon is known as the greenhouse effect. The trapped radiation is converted into heat. This heat causes global warming.

Destruction of forests also causes modification of climate of an area mostly leading to desertification and aridity.

What then should be recommended as solutions to these problems?

- For every tree that is cut, three, not two should be planted in its case. We have reached such a critical point that to prevent the desertification of the world that many more trees need to be planted.
- Unless it is necessary, water catchments areas should strictly be left alone
- Quick growing varieties of soft wood trees should be grown for commercial uses e.g. making of furniture, pencils and paper.
- We should carry out consistent mass education on a worldwide scale, on the importance of reforestation and the dangers of deforestation
- We need to enact and enforce strict laws against deforestation, worldwide.
- It is high time that we reduced our dependence on charcoal as a source of fuel and make use of wind and solar energy.

Nature works as a whole cycle. This is seen not only in animals where predator and prey work together but also in the different energy and nutrient cycles. As already explained earlier, forests play a crucial role in this equation. The knowledge of how to conserve

why business use utilitarian cost-benefit analysis

At the broadest and vaguest level, cost-benefit analysis may be regarded simply as systematic thinking about decision-making

the basic principle of utilitarianism is:

Actions are right to the degree that they tend to promote the greatest good for the greatest number. Utilitarianism is a simple theory and its results are easy to apply. It also allows for degrees of right and wrong, and for every situation the choice between actions is clear-cut: always choose that which has the greatest utility.

Theory of Utility

Bentham's theory of utility is based on three central features:

1. The greatest happiness principle (or utility principle)
2. Egoism
3. Artificial identification of one's own interests with those of others

BUSINESS APPLICATIONS

Utilitarianism may be employed in any business decision-making process that seeks to maximize positive effects (especially morally, but perhaps also financially and so forth) and minimize negative outcomes. As with Bentham's formulation, utilitarianism in business ethics is primarily concerned with outcomes rather than processes. If the outcome leads to the greatest good (or the least harm) for the greatest number of people

with reference to contractual theory, what are moral obligations of business?

Contractual agreement not to exhibit unethical behavior. Releasing products with defects should be informed to the customers. This is a golden practice amongst Muslims from the days of Holy Prophet (PBUH) and its heartening to see the same being employed here in the field of International Business

the contractual theory of business' duties to consumers claims that a business has four main moral duties: the basic duty of (a) complying with the terms of the sales contract, and the secondary duties of (b) disclosing the nature of the product, (c) avoiding misrepresentation, and (d) avoiding the use of duress and undue influence

Business claiming that environment responsibility is confined to laws. 5

Solution soooooooooooooooooooooon

On the basis of marginal cost, why an additional unit produced cost a business more? Give examples.

Solution soooooooooooooooooooooon

MGT610 - Business Ethics Glossary For Final Term Exam Preparation

Glossary

autonomous morality : the last of Kohlberg's stages of moral development (also known as postconventional or principled morality); at these stages the individual has questioned previous laws and values and sees the value of reason in morality.

business ethics : A specialized study of the moral standards that apply to business policies, institutions, organizations, and behavior.

consistency requirement : the necessity of moral principles to be applied the same way to everyone in similar circumstances.

conventional morality : the middle two of Kohlberg's stages, characterized by the ability to see situations from the point of view of others and to subordinate the needs of the individual to the needs of the group.

cyberspace : a term used to denote the existence of information on an electronic network of linked computer systems.

descriptive study : investigation attempting to explain or describe the world without reaching any conclusions about whether the world is as it should be.

ethical relativism : the theory that morality varies according to culture and/or time.

ethics : the study of morality or the moral standards of a society or an individual.

genetic engineering : new techniques that allow change in the genes of the cells of humans, animals, and plants.

globalization : the worldwide process by which the economic and social systems of nations have become connected.

information technology : powerful and compact technologies that have allowed us to capture, manipulate, and move information in new and creative ways.

law of agency : a law that specifies the duties of persons who agree to act on behalf of another party and who are authorized by agreement so to act.

moral reasoning : the reasoning process by which human behaviors, institutions, or policies are judged to be in or out accordance with moral standards.

moral responsibility : the idea that agents are culpable for acting or neglecting to act.

moral standards : norms about the kinds of actions believed to be morally right and wrong.

morality : the standards that an individual or a group has about what is right and wrong or good and evil (also, the subject that ethics investigates).

multinational corporation : a company that maintains manufacturing, marketing, service, or administrative operations in many different host countries.

nanotechnology : a new field that encompasses the development of tiny structures only billionths of a meter in size.

nonmoral standards : standards by which we judge what is right/ wrong or good/bad in a nonmoral way.

normative study : investigation attempting to reach conclusions about what things are good or bad, or about what actions are right or wrong.

preconventional morality : the first two stages of Kohlberg's stages of moral development, centering on response to rules, punishments, and social expectations.

prisoner's dilemma : a situation where two parties must choose whether to cooperate or not; both gain when both cooperate, while if only one cooperates the other gains even more, and if both do not cooperate both lose.

capitalist justice : the belief that benefits should be distributed according to the value of the contribution made by the individual to a group.

categorical : the requirement that I must act such that the maxim of my action could be made universal law (or the requirement that in acting I always treat others as ends in themselves and never as a means to an end).

communitarian ethic : concrete communities and communal relationships have fundamental value that should be preserved and maintained.

compensatory justice : the belief that persons should have restored to them what they lose as the result of another's wrong action.

cost-benefit analysis : analyzes desirability of a project by comparing present and future economic benefits to present and future economic costs.

difference principle : productive societies incorporate inequalities, but work to improve the position of the neediest.

distributive justice : concerned with the fair distribution of society's benefits and burdens; the belief that individuals who are similar in all relevant respects should be given similar benefits and burdens.

efficiency : producing desired output with lowest resource input.

economic equality : equality of income and wealth, and equality of opportunity.

egalitarian justice : the belief that every person should be given exactly equal shares of a group's benefits and burdens.

ethic of care : emphasizes care for the well-being of those close to us.

ethic of virtue : evaluates the moral character of individuals or groups.

instrumental goods : goods valued only because they lead to other good things.

intrinsic goods : things desired independently of any benefits they may produce.

justice : how benefits and burdens are distributed among people.

justice as fairness : associated with John Rawls; the belief that the distribution of benefits and burdens in a society is just only if each person has an equal right to the most extensive basic liberties compatible with similar liberties for all, and social and economic inequalities are arranged so that they are both to the greatest benefit of the least advantaged and attached to offices and positions open to all fairly and equally.

legal rights : entitlements derived from a legal system.

libertarianism : the belief that freedom from human constraint is necessarily good, and thus that constraints imposed by others are necessarily evil.

maxim : the reason a person in a certain situation has for doing what she or he plans to do.

moral rights : rights possessed by all human beings simply by virtue of being human.

moral virtue : an acquired disposition that is valued as part of the character of a morally good human being and that is exhibited in the person habitual behavior.

negative rights : duties others have to not interfere in certain activities of the person who holds a given right.

noneconomic goods : goods such as life, love, and freedom, whose value cannot be equaled by any quantity of any economic good.

original position : according to Rawls, the situation of a group that would say a principle is morally justified; they must be rational self-interested persons who know they will live in a society governed by the principles they accept but who do not know the race, sex, religion, social position, interests, or abilities that they will have.

political equality : equal participation in, and treatment by, the means of controlling and directing the political system.

positive rights : the duty of some other agents to provide the rights-holder with whatever is needed to pursue the rights-holder's interests.

principle of equal liberty : each citizen's liberties must be protected and must equal the liberties of each other citizen's.

principle of fair equality of opportunity : everyone deserves equal opportunity to qualify for privileged positions.

productivity : the better the quality of a person's contribution, the more the person should receive.

puritan ethic : each individual is obliged to work hard at his or her calling.

retributive justice : the belief that agents should be punished or blamed for wrongdoing.

reversibility : parties choose principles that will apply to themselves.

rights : rights in general, an individual's entitlement to something; legal rights are those dictated by a system of laws; moral rights are those that permit or allow all humans to do or to have something done for them; negative rights prohibit others from interfering with an individual's actions; positive rights grant others the duty to provide an individual with something she or he needs.

rule-utilitarianism : rule-utilitarianism the view that an individual action is right when it is required by correct moral rules and if the sum total of utilities produced if everyone were to follow the rule is greater than the sum total utilities produced if everyone did not follow the rule.

socialist justice : the belief that benefits should be distributed according to need and burdens according to ability.

universalizability : principles must apply equally to everyone.

utilitarianism : the view that actions are right when they produce the greatest net benefits or the lowest net costs.

utility : any net benefits produced by an action.

veil of ignorance : veil of ignorance in Rawls' original position, the rational person's ignorance of his or her own status.

virtue theory : virtue theory belief that the aim of the moral life is to develop moral virtues, and to use them.

work ethic : the high value placed on individual effort; belief that hard work leads to success.

absolute advantage : absolute advantage when one country can produce a good more cheaply than another.

aggregate demand : aggregate demand according to John Maynard Keynes, the sum of the demand of three sectors of the economy: households, businesses, and government.

alienation : alienation the effect, according to Marx, of capitalist systems which do not allow the working class to develop their productive potential or satisfy their real human needs.

bourgeoisie : according to Marx, the class that owns the means of production.

command economy : a system where a single authority makes the decisions about what is produced, and by whom, and to whom it is distributed.

communitarianism : the belief that government should be authoritative, defining the needs of the community and seeing that those needs are met.

copyright : a grant that indicates that a particular expression of an idea is the private property of an individual or company.

economic system : the system a society uses to provide the goods and services it needs to survive and flourish.

economic substructure : the materials and social controls that society uses to produce its economic goods.

forces of production : the materials (land, labor, natural resources, machinery, energy, technology) used in production.

free market system : a system in which individual firms, privately owned, make their own decisions about what they will produce and how they will produce it.

historical materialism : the Marxist view that history is determined by changes in the economic methods by which humanity produces the materials on which it must live.

ideology : a system of normative beliefs shared by a group, expressing answers to questions about human nature, the purpose of society, and the values of the group.

immiseration : the combined effects of increased concentration, cyclic crises, rising unemployment, and declining relative compensation.

individualism : the belief that government has a limited role, existing primarily to protect the property of the individual and keep the marketplace open.

intellectual property : the property that consists of an abstract, nonphysical object; such property, unlike physical property, is nonexclusive.

invisible hand : according to Adam Smith, market competition drives self-interested individuals to act in ways that serve society.

Keynsian economics : according to John Maynard Keynes, free markets alone are not necessarily the most efficient means for coordinating the use of societies resources.

law of nature : according to Locke, the moral principle that since all men are free and equal, no one ought to harm another in his life, health, liberty, or possessions.

Lockean rights : the right to life, liberty, and property.

markets : an economic system based primarily on private individuals making decisions about what they will produce and who will get it.

means of production : the buildings, machinery, land, and raw materials used in the production of goods and services.

mixed economy : an economy with both free market and central planning attributes.

natural rights : the rights that nature teaches each man that he has according to the law of nature.

naturalistic fallacy : the assumption that whatever happens naturally is always for the best.

patent : new inventions invented by a person that are designed as private property.

post-Keynesian school : economists who have sought to challenge and modify Keynesian economics.

private property system : a system that maintains a system of property laws to assign private individuals the right to make decisions about what they own.

proletariat : according to Marx, the alienated working class.

relations of production : the social controls used in producing goods (i.e., the social controls by which society organizes and controls its workers).

Says law : all available resources are used and demand always expands to absorb the supply of commodities made from them.

social Darwinism : social Darwinism belief that economic competition produces human progress.

social superstructure : a society's government and its popular ideologies.

state of nature : according to Locke, the state where each man is the political equal of all others, perfectly free of any constraints except the law of nature.

surplus value : the difference between the value of labor and the wage paid for it.

survival of the fittest : Charles Darwin's term for the process of natural selection.

tradition based societies : societies that rely on traditional communal roles and customs to carry out basic economic tasks.

antitrust : the view that large oligopolistic or monopolistic companies should be broken up into smaller firms to reinstate competitive pressures.

countervailing power : according to John Kenneth Galbraith, the force that balances and restrains the economic power of any large corporation or other large corporate group (for example, a union, or the government).

demand curve : a line on a graph indicating the maximum that consumers (or buyers) would be willing to pay for a unit of some product when they buy different quantities of that product.

do-nothing view : the view that, in the face of monopolies, governments should take no action whatsoever.

equilibrium point : the point at which the amount of goods buyers want to buy exactly equals the amount of goods sellers want to sell, and at which the highest price buyers are willing to pay exactly equals the lowest price sellers are willing to take.

equilibrium price : the point at which the supply and demand curves meet (also known as the point of equilibrium); at this point, the price buyers are willing to pay for a certain amount of goods exactly matches the price sellers must take to cover the costs of producing that same amount.

exclusive dealing arrangements : when a firm sells to a retailer on condition that the retailer will not purchase any products from other companies and/or will not sell outside of a certain geographical area.

extortion : when the payee demands the payment by threatening injury to the payer's interests; it is not a bribe, and the payer's moral responsibility may be diminished in proportion to the severity of the threat.

highly concentrated markets : oligopoly markets that are dominated by a few (e.g. three to eight) large firms.

horizontal merger : the unification of two or more companies that were formerly competing in the same line of business.

imperfectly competitive markets : markets that lie somewhere on the spectrum between the two extremes of the perfectly competitive market with innumerable sellers and the pure monopoly market with only one seller.

manipulation of supply : when firms operating in an oligopolistic market agree to limit their production so that prices rise to higher levels than they would in free competition.

monopoly competition : a market system where one seller has a substantial share of the market (close to 100%) and no other sellers can enter.

oligopolistic competition : a market system where a small group of sellers has a substantial share of the market and no other sellers can enter; such markets are said to be highly concentrated.

oligopoly : a market shared by a relatively small number of large firms that together can exercise some influence on prices.

perfect competition : a market system in which no buyer or seller has the power to significantly affect the prices at which goods are being exchanged.

price discrimination : when a seller charges different prices to different buyers for identical goods or services.

price fixing : when firms operating in an oligopolistic market secretly agree to set prices at artificially high levels.

price leadership : price leadership is related to price setting; when oligopolistic industries recognize one firm as the firm that sets the price, that firm is the price leader.

price setting : when firms in an oligopolistic market conclude that cooperation, rather than competition, is in their collective best interests, they may

reach the independent conclusion that they will all benefit if, when one firm raises its prices, the others will follow.

principle of diminishing marginal utility : each additional item a person consumes is less satisfying than each of the earlier items the person consumed.

principle of increasing marginal costs : after a certain point, each additional item a seller produces costs more to produce than earlier items.

pure monopoly : a market in which a single firm is the only seller in the market and new sellers are barred from entering.

regulation : the view that large companies should not be broken up to reinstate competitive pressures; instead, regulatory agencies should be set up to restrain and control their activities.

retail price maintenance : when a manufacturer sells to a retailer only on condition that they agree to charge the same set retail prices for its goods.

supply curve : a line on a graph indicating the prices producers must charge to cover the average costs of supplying a given amount of a commodity.

trust : an alliance of previously competitive oligopolists formed to take advantage of monopoly powers.

tying arrangement : when a firm sells a buyer a certain good only on condition that the buyer also purchase other goods from the firm.

acid rain : sulfur oxides and nitrogen oxides are combined with water vapor in clouds to form form nitric acid and sulfuric acid; these acids are then carried down and often fall hundreds of miles away from the original sources of the oxides.

conservation : saving or rationing natural resources for future use.

cost benefit analysis : a method of determining the relative worth of an action, recognizing that the costs of actions are often inversely related to the benefits derived from completing them.

ecofeminism : ecofeminism belief that the root of our ecological crisis lies in a pattern of domination of nature that is tightly linked to the social practices and institutions through which women have been subordinated to men.

ecological ethics : the idea that the environment should be protected for its own sake (also known as deep ecology).

ecological system : an interrelated and interdependent set of organisms and environments.

environmental injustice : the bearing of external costs of pollution largely by those who do not enjoy a net benefit from the activity that produces the pollution.

exponential depletion : the theory that a resource will be used up more and more quickly.

external cost : the cost that those other than a manufacturer must bear for the production of a product.

free goods : goods that no one owns.

global warming : the increase in temperatures around the globe due to rising levels of greenhouse gases.

greenhouse gases : carbon dioxide, nitrous oxide, methane, and chlorofluorocarbons-gases that absorb and hold heat from the sun, preventing it from escaping back into space, much like a greenhouse absorbs and holds the sun's heat.

internalization of the costs of pollution : absorption of costs by the producer, who takes them into account when determining the prices of goods.

to internalize costs : to move external costs inward, making them part of the private cost of a commodity.

major types of air pollution : global warming, ozone depletion, acid rain, airborne toxics.

multiple access : when a resource can be used by several separate extractors, their shared access will lead to the resource being depleted more quickly than if only one extractor had access.

organic wastes : organic wastes are largely untreated human wastes and sewage and industrial processing of various food products, from the pulp and paper industry, and from animal feedlots.

ozone depletion : the gradual breakdown of ozone gas in the stratosphere above us caused by the release of chlorofluorocarbons (CFCs) into the air.

peaked depletion : the theory that a resource will be used up quickly at first, and then more slowly as it becomes more difficult to extract.

photochemical smog : a complex mixture of gases and particles manufactured by sunlight out of raw materials -- nitrogen oxides and hydrocarbons -- discharged to the atmosphere chiefly by automobiles.

pollution : the undesirable and unintended contamination of the environment.

private cost : the cost a manufacturer bears to produce a product.

resource depletion : the consumption of finite or scarce resources.

social audit : a regular measurement and recording of the impacts of a corporation's activities upon society.

social cost : the cost which society bears to produce a product.

social ecology : the idea that the environmental crises we face are rooted in the social systems of hierarchy and domination that characterize our society.

toxic substance : a substance harmful to some form of life.

unlimited goods : goods that seem to be limitless, like the environment.

brand loyalty : the result of effective advertising campaigns on consumers, which gives large corporations control over a major portion of the market.

caveat emptor : "let the buyer beware."

caveat vendor : "let the seller beware."

commercial advertising : communication between a seller and potential buyers that is publicly addressed to a mass audience and is intended to induce several members of this audience to buy the seller's products.

contractual theory (of a seller's duties) : the view that the relationship between a business and its customers is a contractual one; the moral duties to the customer are those created by this contract.

disclaimer : a statement made by a seller explicitly disclaiming that the product is reliable, serviceable, or safe.

due care theory (of a seller's duties) : the theory that, since consumers must depend on the greater expertise of the manufacturer, the manufacturer not only has a duty to deliver a product that lives up to the express and implied claims about it, but also has a duty to exercise due care to prevent others from being injured by the product--even if the manufacturer explicitly disclaims such responsibility.

duty not to coerce : the duty of a seller not to take advantage of gullibility, immaturity, ignorance, or any other factor that might reduce the buyer's ability to make a rational choice.

duty not to misrepresent : the duty of a seller not to deliberately deceive the buyer into thinking something about a product that the seller knows is false.

duty of disclosure : the duty of a seller to inform the buyer of any facts about the product that would affect the decision to purchase it.

duty to comply : according to the contractual theory, the seller has a duty to carry through on any implied claims he knowingly makes about the product.

free riders : individuals who acquire a benefit paid for by others who desire the same benefit.

implied claim : a claim about the quality or character of a product that is knowingly, though not explicitly, made by a seller.

implied warranty : the indirect contractual relationship made between a company and its customers by its advertisements.

maintainability : the ease with which a product can be repaired and kept in operating condition.

market approach to consumer protection : consumer safety is seen as a good that is most efficiently provided through the mechanism of the free market whereby sellers must respond to consumer demands.

physical privacy : privacy with respect to a person's physical activities.

production costs / selling costs : with reference to advertising, production costs are the costs of the resources consumed in producing a product; selling costs are the additional costs of resources that do not go into changing the product but rather are invested in persuading people to buy it.

product safety : implied and express claims that refer to the degree of risk associated with using a product.

psychological privacy : privacy with respect to a person's inner life.

rational utility maximizer : a person who has a well-defined and consistent set of preferences, and who is certain how personal choices will affect those preferences.

reasonable risk : a risk that is known and judged to be acceptable by the buyer.

reliability : the probability that a product will function as the consumer is led to expect.

right to privacy : the right of persons to determine what, to whom, and how much information about themselves will be disclosed to other parties.

selling costs : the additional costs of resources that do not go into changing the product, but are invested instead in persuading people to buy the product.

service life : the period of time during which a product will function as effectively as the consumer is led to expect it to function.

social costs theory (of a seller's duties) : the theory that the duties of the manufacturer extend far beyond those imposed by contractual and due care duties; manufacturers should pay the cost of any injuries sustained through any defects in their products, even when they exercise due care and have taken all reasonable precautions. (Related to the legal doctrine of strict liability.)

strict liability : a legal doctrine that holds that manufacturers must bear the “external” costs of injuries resulting from unavoidable defects in the design of an artifact constitute part of the costs society must pay for producing and using an artifact.

affirmative action : positive programs which are aimed at eliminating the effects of past discrimination; as opposed to negative policies which are aimed at preventing further discrimination.

Americans with Disabilities Act of 1990 : bars discrimination on the basis of disability and requires that employers make reasonable accommodation for their disabled employees and customers.

comparable pay : a program that attempts to place higher salaries on positions that most women already hold (as opposed to an affirmative action program that would attempt to place more women into positions paying more).

comparable worth program : measuring the value of each job to an organization to ensure that jobs of equal value are paid the same salary regardless of whether external labor markets pay the same rates for those jobs.

discrimination : the wrongful act of distinguishing illicitly among people not on the basis of individual merit, but on the basis of prejudice or some other invidious or morally reprehensible attitude.

discriminatory practice : an employment practice which has the effect of wrongful discrimination, regardless of whether it is intentional or systematic; the practice may deal with recruitment, screening, promotion, discharge, and/or conditions of employment.

Equal Opportunity Employment Commission : a federal agency that investigates claims of on the job sexual harassment and discrimination.

glass ceiling : an invisible, but impenetrable, barrier to further promotion sometimes encountered by women or minorities.

institutionalized discrimination : wrongful discrimination which is part of the routine behavior of a group or corporation; it may be either intentional or unintentional.

intentional discrimination : wrongful discrimination which is done knowingly either by an individual or a group.

invidious contempt : the belief that members of another sexual or racial group are inferior or less worthy of respect.

isolated discrimination : wrongful discrimination which is part of the isolated behavior of a single individual; it may be either intentional or unintentional.

job discrimination : the wrongful act of discriminating in employment on the basis of prejudice or some other morally reprehensible attitude; it is discrimination not based on individual merit, derived at least in part from racial or sexual prejudice, and having a negative impact on the interest of the employee.

nonintentional discrimination : wrongful discrimination which is done unthinkingly or unintentionally either by an individual or a group.

principle of equality : individuals who are equal in all respects relevant to the kind of treatment in question should be treated equally even if they are dissimilar in other nonrelevant respects.

reverse discrimination : a term used by opponents of affirmative action; the idea that affirmative action's effects are preferential treatment for minorities and discrimination against white males on the basis of an irrelevant characteristic, race or sex.

sexual harassment : under certain conditions, unwelcome sexual advances, requests for sexual favors, and other verbal or physical contact of a sexual nature.

utilization analysis : a detailed study of the major job classifications in a firm, designed to determine whether there are fewer minorities or women in any particular job classification than could be expected from their availability; part of an affirmative action program.

actual conflict of interest : when an employee has an interest that might influence the judgments she makes for the employer when performing a certain task for the employer and has actually been given that task to perform.

apparent conflict of interest : a situation in which an employee has no actual conflict of interest, but in which other people looking at the situation may come to believe (wrongly) that there is an actual conflict of interest.

bribe : bribe in business, a consideration (money, goods, preferential treatment, or the like) given to an individual by a person outside the organization on the understanding that when the individual acts on behalf of the organization, the employee will deal favorably with the person or his/her firm.

caring model of the organization : an organization in which the dominant moral concepts are those that arise from an ethic of care.

commercial extortion : occurs when an employee demands a consideration from persons outside the firm as a condition for dealing favorably with those persons when the employee transact business for the firm.

conflict of interest (actual and potential) : in business, conflict of interest can arise when an employee has a private interest in a task he completes for a business that is possibly antagonistic to the best interests of the company and substantial enough that it might affect the employee's independent judgment. Actual conflicts occur when a person does discharge his or her duties in a way that is prejudicial to the firm out of self-interest; potential conflicts occur when a person is merely motivated or tempted to do so.

due process : the right to a fair process by which decision makers impose sanctions on their subordinates.

employee at will : the doctrine that, unless employees are protected by an implicit contract, employers "may dismiss their employees at will ... for good cause, for no

cause, or even for causes morally wrong without thereby being guilty of legal wrong.”

fair wage : the moral wage to pay an employee; based on an area's (and industry's) going wage, the capabilities of the firm, minimum wage laws, and other considerations.

formal hierarchies of authority : the positions and relationships identified in the organizational chart that represents the various official positions and lines of authority in the organization.

horizontal/vertical specialization : horizontal specialization decreases the range of different tasks and increases the repetition of the narrow range of tasks in a job; vertical specialization restricts the range of control and decision making over the activity in a job.

insider information : confidential and proprietary information about a company which has a material or significant impact on the price of the company's stock.

insider trading : the act of buying and selling a company's stock on the basis of “inside” information about the company.

job satisfaction : a measure of how workers perceive their own jobs; it is determined by experienced meaningfulness, responsibility, and an employee's knowledge of results.

job specialization : the restriction of an employee's job tasks with the aim of achieving the organization's goals as efficiently as possible.

manufacturing economy : an economy in which a large portion of employees are engaged in work that is aimed at producing manufactured products, such as the auto or steel industries.

middle managers : managers who direct the units below them and are in turn directed by those above them in ascending lines of authority.

objective conflicts of interest : conflicts of interest based on financial relationships.

operating layer : those employees and their immediate supervisors who directly produce the goods and services that constitute the essential outputs of an organization.

organizational politics : the processes in which individuals or groups within an organization use non-formally sanctioned power tactics to advance their own aims.

OSHA : the Occupational Safety and Health Administration, founded in 1970 by Congress to "assure ...every working man and woman in the nation safe and healthful working conditions."

participative management : a leadership style that emphasizes inclusion of employees in evaluation and decision-making processes.

political model : the model of business organizations that emphasizes competing power coalitions and formal and informal lines of influence and communication; generally, this model is a more complex network of relationships than that represented by an organizational chart.

potential conflicts of interest : occur when an employee has an interest that could influence the judgments made for the employer if the employee were performing a certain task for the employer but has not yet been given the task to perform.

rational model : the model of business organizations which defines them as structures of formal relationships designed to achieve a technical or economic goal with maximum efficiency; often associated with a firm's organizational chart.

service economy : an economy in which most employees are engaged in so-called service industries where work consists largely of providing services to others, such as the banking, restaurant, legal, educational, software design, fashion design, and medical industries.

subjective conflicts of interest : conflicts of interest that are based on emotional ties or on relationships.

sweatshop : a workplace that has numerous health and safety hazards and poor working conditions, as well as low wages.

top managers : the board of directors, the chief executive officer, and the CEO's staff.

whistleblowing : the act of attempting to disclose wrongdoing in or by an organization; it can be either internal, when the act is reported to the organization, or external, when it is reported to an outside source.

MGT610 - Business Ethics FAQs For Final Term Exam Preparation

FAQs

Question: In what sense does Galbraith deserve a medal for freedom?

Answer: In the sense that a certain conception of freedom does underlie his thinking. This is what is called "positive" freedom. It means a condition whereby people are provided by government, and at the expense of other people, with what they could use to advance their lot. Such provisions would "free" them to move forward. The freedom of the American founders is quite different, mainly backed by a different idea of human nature. It is that people in communities require first and foremost not to be thwarted in their efforts to make headway in life. Others may not be conscripted into involuntary servitude to provide them with what they might need because if they are not thwarted by them, they will be able to do this on their own. Not equally rapidly, not to the same extent, perhaps, but if they only apply themselves, they will flourish without coercing others. Galbraith has never championed this kind of "negative" freedom. So his views are alien to the American political tradition. It is not surprising, then, that he receives the Medal of Freedom from President Bill Clinton, someone who has done nothing at all to further freedom in this truly American sense. To Galbraith's minor credit, however, he did, a few years ago, finally admit that capitalism is a far better economic system than socialism. He did this only in the wake of the collapse of the Soviet Empire. And even then with great reservations and regret. He was asked, in an interview published in Alitalia's October 1996 "in flight" magazine: "You spoke of the failure of socialism. Do you see this as a total failure, a counterproductive alternative?" He replies this way: "I'd make a distinction here. What failed was the entrepreneurial state, but it had some beneficial effect. I do not believe that there are any radical alternatives, but there are correctives. The only alternative socialism, that is the alternative to the market economy, has failed. The market system is here to stay."

Question: Internet privacy forms a subset of computer privacy. Experts in the field of Internet privacy have a consensus that Internet privacy does not really exist. Privacy advocates believe that it should exist. Do you agree or not with this statement? Explain your arguments with real life examples.

Answer: Internet privacy consists of privacy over the media of the Internet: the ability to control what information one reveals about oneself over the Internet, and

to control who can access that information. Many people use the term to mean universal Internet privacy: every user of the Internet possessing Internet privacy. People with only a casual interest in Internet privacy need not achieve total anonymity. Regular Internet users with an eye to privacy may succeed in achieving a desirable level of privacy through careful disclosure of personal information and by avoiding spyware. The revelation of IP addresses, non-personally-identifiable profiling, and so on might become acceptable trade-offs for the convenience that such users would otherwise lose in using the workarounds needed to suppress such details rigorously. On the other hand, some people desire much stronger privacy. In that case, they may use Internet anonymity to ensure privacy — use of the Internet without giving any third parties the ability to link the Internet activities to personally-identifiable information of the Internet user.

Question: Why do companies develop ethics programs?

Answer: Ethics should govern all human activity; there is no reason to exempt business activity from ethical scrutiny. Business is a cooperative activity whose very existence requires ethical behavior. Another more developed argument points out that no activity, business included, could be carried out in an ethical vacuum.

Question: Define at least five organizational factors of oligopolistic competition which lead companies to engage in unethical practices.

Answer: 1. Crowded and Mature Market - When large numbers of new entrants or declining demand create overcapacity in a market, the resulting decline in revenues and profits creates pressures on middle-level managers. They may respond by allowing, encouraging, and even ordering their sales teams to engage in price fixing. 2. Job-Order Nature of Business - If orders are priced individually so that pricing decisions are made frequently and at low levels of the organization, collusion among low-level salespeople is more likely. 3. Undifferentiated Products - When the product offered by each company in an industry is so similar to those of other companies that they must compete on price alone by continually reducing prices, salespeople come to feel that the only way to keep prices from collapsing is by getting together and fixing prices. 4. Culture of the Business - When an organization's salespeople feel that price fixing is a common practice and is desired, condoned, accepted, rationalized, and even encouraged by the organization, price fixing is more likely. 5. Personnel Practices - When managers are evaluated and rewarded solely or primarily on the basis of profits and volume so that bonuses, commissions, advancement, and other rewards are dependent on these objectives, they will come to believe that the company wants them to achieve these objectives regardless of the means. 6. Pricing Decisions - When

organizations are decentralized so that pricing decisions are pushed down into the hands of a lower part of the organization, price fixing is more likely to happen. Price decisions should be made at higher organizational levels. 7. Trade Associations - Allowing salespeople to meet with competitors in trade association meetings will encourage them to talk about pricing and to begin to engage in price setting arrangements with their counterparts in competing firms. 8. Corporate Legal Staff - When legal departments fail to provide guidance to sales staff until after a problem has occurred, price-fixing problems are more likely.